

7. You worry about money all the time.
8. Let's also assume that you have tried every way possible to "find money" in your current budget and are still financially suffering.

Now it may be time to see a credit counselor.

WHAT DO CREDIT COUNSELORS DO?

First of all, a credit counselor will (or at least should) spend some time with you to get a handle on your situation. If it's appropriate, they will prescribe a Debt Management Plan (DMP).

Basically a DMP will consolidate your debts at lower interest rates. The actual interest rates you get vary by creditors and what they can offer to credit counseling firms—it's fairly standardized. As part of the DMP, late fees and other penalties you have incurred will also be waived, which can be substantial if you're at the point of needing credit counseling.

Once you're in the DMP program, you will pay the credit counselor monthly, and they will distribute the money among the creditors you owe. You have the advantage now of not having to juggle a million debt payments, and in turn you agree not to charge anything

further to your cards or apply for any credit increases.

For this service, you will pay an upfront and monthly fee for this service.

NOT ALL CREDIT COUNSELORS ARE CREATED EQUAL

As with any business service, you need to do your research before you sign up for a DMP. There are some shady credit counselors out there.

Here is a checklist of things you should look for:

- Not-for-profit status.
- A good Better Business Bureau status with minimal complaints (ideally none).
- Certification with the National Foundation of Credit Counselors (NFCC).

QUESTIONS TO ASK A CREDIT COUNSELOR

Before signing on the dotted line (or even agreeing to an appointment), here are a few questions you should ask of your potential credit counselor.

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1. How long is the initial appointment?

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You are looking for them to say they'll spend at least half an hour